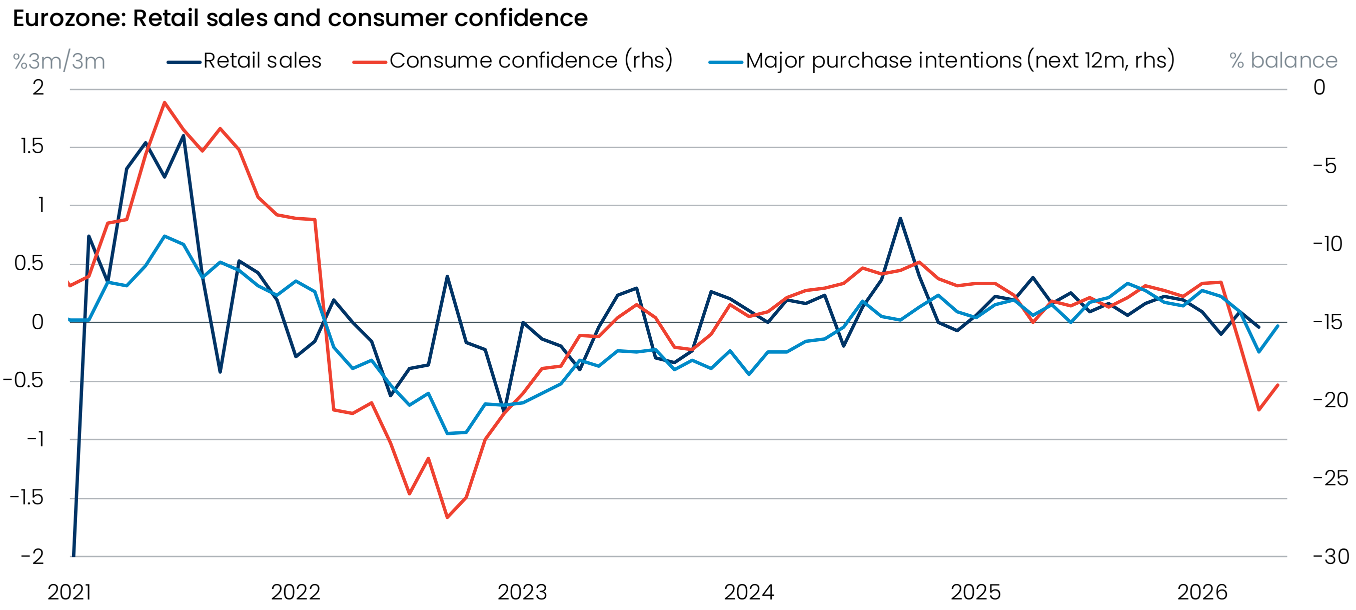
Soft April retail sales portend consumer weakness

- **Eurozone retail sales declined 0.4% m/m in April, one of the first hard data points showing the impact of the war in Iran and the associated inflation spike. The soft reading is also in part likely a payback for the upwardly-revised 0.8% m/m growth in March. The decline was not limited to fuel, where consumption was curtailed by a surge in prices – non-food goods retail volumes fell by 0.9% m/m.**
- **The outturn tallies with our assumption that consumer spending will be the hardest hit component by the supply shock, both via the decline in purchasing power and due to weaker confidence. The April retail sales reading moves our consumer spending forecast for Q2 perilously close to contraction.**

Eurozone retail sales fell 0.4% on the month in April. A contraction was widely anticipated given the unfolding supply shock driven by the war in Iran, surging fuel prices, and the sharp decline in consumer confidence. However, at face value, the April reading is a negative surprise. The decline in the overall sales volume wasn't driven only by fuel sales, which fell 2.7% on the month in response to the surge in prices. Non-food retail also dropped by 0.9% m/m, only partially offset by an 0.9% m/m increase in food retail.

The April reading is in line with our expectations that consumer spending – the key driven of Eurozone growth over the past two years – will be hit hardest by the Iran war fallout. In addition to curbing real incomes due to higher inflation, which rose to 3.2% in May, the drop in consumer confidence and sustained rise in job loss fears suggests consumers might cut back on spending to build a precautionary buffer, despite a still-solid labour market. In our June forecast update, we will likely move to project a contraction in consumer spending in Q2, followed only by a muted growth in H2, with the upcoming two hikes from the ECB adding more pressure on the consumer.

Chart 1: Retail sales fell in April and soft consumer confidence points to further weakness ahead



Tomas Dvorak | Senior Economist | tdvorak@oxfordeconomics.com

Sources: Oxford Economics, Haver Analytics